

Executive Summary

Organizations have access to more workforce data than ever, yet many still struggle to turn that information into meaningful business action. Findings from HR.com's State of People Analytics 2026 report, informed by a three-round Delphi study and advisory board discussions with senior people analytics practitioners and industry experts, reveal a persistent execution gap. When asked which single barrier would unlock the greatest organizational impact if completely solved, 57% of experts identify this execution gap as the primary challenge facing the field.

The findings suggest that organizations no longer struggle primarily with data access or reporting capability. Instead, the larger challenge is decision activation, which refers to partnering directly with business leaders to turn workforce insights into concrete action plans, operational changes, and measurable follow-through. Half of the experts view this as the key to closing the execution gap.

The study also shows that people analytics increasingly gains influence through business relevance and operational integration rather than technical sophistication alone. Experts define high-impact analytics teams as those embedded into routine leadership and operational planning discussions, where workforce insights directly shape business decisions. At the same time, 50% of experts state that the biggest barrier keeping analytics teams out of operational planning meetings is lack of relevance, meaning workforce metrics are not tied closely enough to financial or operational goals.

The findings also reveal growing caution around large-scale AI expansion. While AI is expected to enhance analytics, experts stress the continued importance of human judgment and context. With limited resources, 92% recommend piloting AI in targeted use cases rather than scaling broadly.

Ultimately, 43% of experts conclude that the primary role of the people analytics function over the next two years must evolve into that of a Strategic Advisor that guides executive strategy with workforce insights and research. Future competitive advantage will depend more on helping organizations act effectively on the information they already have.

We examine these and other insights in our summary of key findings below.

Our Major Research Findings

Major Finding 1

The execution gap is the primary hurdle for people analytics.

- When asked which single barrier would unlock the greatest organizational impact if completely solved first, 57% of experts selected the execution gap, defined as insights being produced but not translated into action.
- Furthermore, experts cited fragmented systems (58%) and a lack of ownership (42%) as the most frequent points of process breakdown.

Major Finding 2

Business relevance is the new credibility.

- The biggest barrier keeping analytics teams out of operational planning meetings is lack of relevance, with 50% of experts stating that workforce metrics are simply not tied closely enough to financial or operational goals.
- In Round 2 choices, 58% of experts prioritize improving the quality of hire and time to productivity, and 58% prioritize building future skills and workforce capability, to demonstrate maximum business value.
- When forced to choose a single outcome in Round 3, 35% of experts prioritize improving leadership effectiveness, which outranks workforce productivity (29%) and future skills building (29%).

Major Finding 3

High impact teams are embedded into operational routines.

- In Round 2, experts generate a three-way statistical tie at 58%, identifying high-impact people analytics functions as those that:
 - ▶ embed analytics into routine leadership and operational planning meetings
 - ▶ start analytics efforts with specific business problems
 - ▶ measure success through business impact and follow-through rather than report usage
- Given limited budgets and headcount, 75% of respondents state that organizations must aggressively scale the embedding of analytics into routine business decision-making.

Major Finding 4

Business acumen overtakes technical capability to close the execution gap.

- To close the execution gap over the next two years, 67% of experts select decision activation, which means partnering directly with business leaders to turn insights into action plans, and 58% select business acumen, which means understanding operational priorities and linking analytics to financial outcomes.
- These capabilities outrank technical or baseline proficiencies in the Round 2 data, including data quality and governance (50%), data storytelling (42%), data integration (42%), and predictive analytics (33%).

Major Finding 5

Artificial intelligence acts as an accelerator but requires human judgment.

- AI is poised to revolutionize the function, with experts split evenly on its greatest long-term value, as 36% point to automating tedious data preparation while another 36% favor democratization, which means allowing managers to access and use workforce data without relying on analysts.
- However, human judgment is more vital than ever. Experts cite over-reliance on AI without applying human judgment as the single greatest risk (50%). To counter this risk, 43% select decision accountability, which requires leaders to justify major AI-assisted decisions, as the single best safeguard.
- To manage this transition safely, 92% of experts recommend piloting new AI tools in small areas rather than aggressively rolling them out enterprise wide.

Major Finding 6

The function must embrace the role of Strategic Advisor.

- In the final round, 43% of experts conclude that the primary role of the people analytics function over the next two years is a 'Strategic Advisor' that guides executive strategy with workforce insights and research. This outranks the roles of Data Integrator (29%) and Embedded Partner (29%).